BUSINESS FUNDAMENTALS

IDEA GENERATION: WHAT? AND HOW?

What are good ideas?

Everybody has ideas, but not all of them are good ideas. Superficially an idea may seem extremely attractive, but it cannot be declared a good idea without thorough research on it. A good Idea is that which:-

1. Meets a **real** need of consumers and is **flexible** over time.
2. Has a **low barrier** to entry, but **higher reward**.
3. Can have prospects of **scale** in the future and is **sustainable**

IS THIS A GOOD IDEA?

Ramu is a young boy who lives in a less populated rural colony in the foothills of the Himalayas in Nepal. He recently travelled to Mumbai where he saw many lemonade stands and was greatly attracted by them. He decided to open one of his own when he returned! He spent a fortune sourcing lemons from a far away city because they could not be grown locally due to the climate, thus the price of lemonade had to be increased. Ramu also did not know how to make lemonade properly. He added lemon juice, water, sugar and masala in completely wrong quantities. What do you think would happen when he launched his business?

OUTCOME AND ACTIVITY

Superficially, this may seem like it's a good idea because Ramu is bringing something rare and unheard of to his distant hometown. Although he may gather some sales, it would not be sustainable overtime. Let us perform a SWOT analysis to find out if it is meeting the criteria for a good idea or not.

A SWOT analysis is a tool used by companies to gain a better understanding of their business, may it be before launch or after launch. It can also be used as a tool to identify weaknesses and refine ideas. Let us perform one for Ramu's case.

PERFORMING AN ANALYSIS: SWOT ANALYSIS OF RAMU'S LEMONADE STAND

Opportunities-

Strengths-

Weaknesses-

Threats-

PLANNING A BUSINESS

While planning a business, there are certain factors that must be kept in mind. A good thumb rule to keep in mind while planning are the 4P's of marketing and business in general. They include—

1. Product- This refers to the item or service being offered, its quality, features, benefits and branding.
2. Price- This is self explanatory and refers to the price of the product sold, its perceived value by the customer, production costs and competition.
3. Place- This refers to the place where the product is sold, online, offline, location, etc.
4. Promotion- This is the branding, advertising/marketing strategy of the product and can be dealt with before and after launch of the business.

THE FIRST P- PRODUCT

- The product being sold lies at the heart of any business. To get a better understanding of the role of the product, let us go back to Ramu's case.

While manufacturing his product, Ramu underestimated the role of the quality of the product being made. He added all the ingredients of the lemonade in incorrect amounts, leading to the lemonade having a bad taste. This was one of the factors which could have been better planned by preparing a set recipe which he would use for all his lemonades, it would also bring uniformity to his product line.

THE SECOND P- PRICE

- Price is one of the most crucial elements of a product. All customers usually seek lower prices and sellers always want higher ones for more profit. Let us look at another factor for the failure of Ramus business regarding the price.

Ramu's area did not have the suitable climate or resources for the growth of lemons, therefore he had to source them from elsewhere, which increased his price greatly. Since lemonade is something which one expects to be very cheap, it created a huge disadvantage for Ramu since no one would ever pay a very steep price for such a good. This brings us to our next point, Place.

THE THIRD P- PLACE

The place at which the product is being sold depends on the nature of the product and other factors such as budget, availability of labour and buyers, resources and more.

This was perhaps the largest error that Ramu made, he found a product which was a good idea in Mumbai for sure, but not in his frosty hometown. People usually buy lemonade to cool themselves during high temperatures, but Ramu's location played the completely opposite effect since it was cold. Also, his neighborhood was very distant and less populated, decreasing the number of buyers for his product. Lastly, as stated above, his area did not have the proper resources for the growth of lemons.

The problem of less sales could mostly be solved by changing his location to a hotter and more humid, higher populated and tropical region suitable for the growth of lemon trees. Such as the location where he previously bought it, Mumbai.

THE FOURTH P- PROMOTION

- Promotion can be the key the makes or breaks even the best product in existence. This can be explored in the session about marketing and branding.